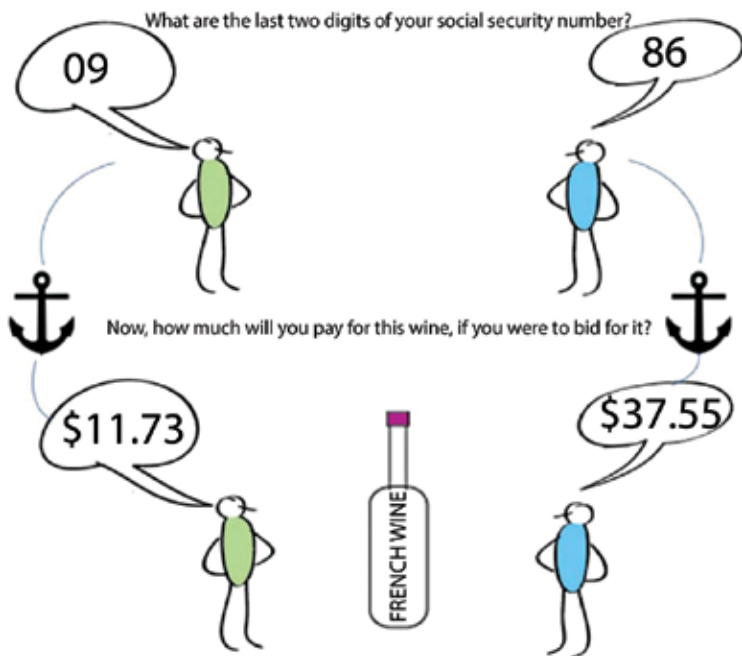


Anchoring Bias

Anchoring bias arises when we rely too strongly on either pre-existing information or the first piece of information (the anchor) when making a decision, and it is directly tied to the decision-making process.

If you first see a piece of apparel, such as a pair of jeans, that costs Rupees 1,000 and then see a second pair that costs Rupees 100, you're more likely to regard the second pair as inexpensive than if the first pair was Rupees 120. The price of the first pair of jeans has an impact on how you perceive the second pair.



How anchoring bias works

Self-serving bias is rampant everywhere, from sports to the workplace. Athletes, for example, are eager to claim credit for personal victories, praising their hard effort and mental toughness, but blame external circumstances such as unfair calls or terrible weather when they lose.

When people are hired for a job, they ascribe internal factors, but when they are fired, they attach external factors. Internal explanations are pro-